

A vibrant, low-angle shot of a diverse crowd of people in a stadium, cheering enthusiastically with their arms raised high. The scene is filled with energy and excitement, with bright sunlight filtering through the stadium's structure, creating a warm and celebratory atmosphere. The crowd is composed of individuals of various ages and ethnicities, all sharing in the moment of triumph.

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SWC June 2025 Financial Results

Executive Summary

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- **Footcare category rebounded in L4W (June) with SWC gaining share growing +3.7%.** SWC grows in consumption in all periods, accelerating in L4W (which aligns with media being On Air in all markets) driven by all Pillars (Care +8.7%). Athletes Foot UK OOS remains a drain but Aid NPDs & Distribution gains drive strong growth; Foot Files continue to grow and Insoles return to growth in L4W.
- **SWC gains share in L4W with gains in both B&M and E-Comm** and gains in Aid & Care with Support closing the share gap in L13W & L4W; SWC gains/ improves market share in most markets, including in E-Comm.
- **Canada, UK, Germany, Australia all in strong growth across all Pillars.** And the **US back in growth** L4W with both Support & Aid in growth (Wart, etc offsetting Skin Tag). As of Week 28/ mid July, the US still shows positive momentum from -3.3% YTD to -1.7% L4W, +1.7pts MS in B&M/ xAOC. Performance in Walmart improves though Target now declines -11.9% L4W with reduced footcare space.
- **June YTD Net Revenue is \$203.6M; +2%/\$4.1M vPY, +1% vLE1, -3.5% to Budget. YTD Adjusted EBITDA +3% vPY, +6% vLE1** primarily due to deferred A&P spend. June YTD free cash flow was \$14.4 million, unfavorable versus LE1 expectations by \$(2.2) million primarily due to higher NWC (tariff capitalization).
- **Overall customer service was 93%** (\$3.1m cuts) -2% reduction versus May 2025 and below target, + 2% YOY due to UK Athlete's Foot OOS due to supplier issue, Ingrown Toenail quality issue and Work and Topical Pain Roll On on allocation.
- **The US CPI continues on track with negotiations with Walmart now closed, resulting in our intended outcome.** August 4th is 'D-Day' for price to be live in the EHC system. 'All hands on deck' to mitigate transaction mismatches/ 'messiness'. Meeting with Roger Wednesday to ensure attention.
- **Our 2025 L2 roll-up delivers Net Revenue -0.4% to Budget, +2.4% vLE1 and +5.8% vPY** due to strong sell out performance in EU markets, top line impact of US CPI and favorable FX rates. **EBITDA, however, rolls -6.6% to Budget, though +1.6% vLE1 and +3.2% vPY.** The gap to budget due to \$3.6M COGS omission in Budget due to data error, increased +\$3M in G&A due to change in Go-to-Market plans for Italy, impact of FX and higher legal fees.
- **We have made strong progress against our 2025 Strategic Objectives.** The **Marketing Comms Transformation has not delivered in the 1H vs the set objectives**, however we have now reset roles and ways of working internally & with agencies to drive stronger results quickly (ahead of new CMO). Similarly we have not delivered strong creatives, especially for Insoles. We briefed in analytics/insights work to get to a clear creative (and innovation) brief by mid August. Our Enterprise Planning processes and Sales & Marketing ways of working are operational and delivering alignment/prioritization. And we have made strong progress on resetting our capabilities in Independent Pharmacy.
- **For US Skin Tag, we confirmed strong AMZ conversion but diagnosed gap in media spend which was significantly delayed and sub-optimally planned due to agency transition.** With new ways of working and stronger leadership of our agencies, we have reset the 2H plan and are setting clearer KPIs and tracking processes.

Jun YTD Net Revenue is \$203.6M; +2%/\$4.1M vPY, +1% vLE1, -3.5% to Budget

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USD in Millions	Net Revenue June YTD					
Region	PY	Budget	LE1	Actual	% vs LE1	% vs PY
United States	\$ 111.6	\$ 118.9	\$ 114.0	\$ 113.0	-1%	1%
France	11.5	13.9	11.1	10.5	-6%	-9%
UK	12.4	13.0	12.1	13.1	9%	6%
Canada	10.9	10.6	10.8	11.0	3%	1%
Germany	11.9	13.0	13.3	14.7	11%	24%
Australia/NZ	7.8	8.0	8.1	8.4	4%	8%
Italy	8.5	9.2	7.9	8.2	4%	-3%
Japan	4.4	4.5	4.1	4.5	8%	3%
All Other	20.6	19.7	19.8	20.2	2%	-2%
Total Net Revenue	\$ 199.5	\$ 210.9	\$ 201.2	\$ 203.6	1%	2%

➤ **Net Revenue by Region is up vs LE1 \$2.4M or +1%, and up versus last year \$4.1 million or +2%**

- Most markets are up vs LE1 including double digit increases in Germany. US and France fell below LE1, -1% and -6%, respectively
- YOY increase is primarily driven by growth from Germany, US, UK, Australia and Japan. France, Italy and All Other are below prior year.

USD in Millions	By Category/Segment June YTD					
	PY	Budget	LE1	Actual	% vs LE1	% vs PY
Support	\$ 124.0	\$ 127.2	\$ 121.7	\$ 123.2	1%	-1%
Aid	\$ 73.1	\$ 89.5	\$ 81.7	\$ 80.5	-1%	10%
Athlete's Foot	\$ 5.0	\$ 5.7	\$ 4.7	\$ 4.1	-13%	-18%
Blister	\$ 3.1	\$ 5.7	\$ 5.0	\$ 4.8	-2%	59%
Bunion/Deformities	\$ 3.3	\$ 3.7	\$ 3.4	\$ 3.4	0%	4%
Corn/Callus	\$ 15.8	\$ 16.1	\$ 16.0	\$ 16.5	3%	4%
Fungal Nail Revitalizer	\$ 6.6	\$ 7.2	\$ 6.5	\$ 6.8	5%	4%
Ingrown Toenail	\$ 2.7	\$ 2.8	\$ 2.6	\$ 2.2	-17%	-21%
Odor/Wetness	\$ 15.3	\$ 18.2	\$ 17.4	\$ 16.9	-3%	10%
Pain	\$ 0.3	\$ 3.0	\$ 2.9	\$ 2.0	-30%	598%
Skin Tag	\$ 9.3	\$ 12.6	\$ 8.7	\$ 8.8	1%	-5%
Wart/Verruca	\$ 11.8	\$ 14.4	\$ 14.5	\$ 14.9	3%	27%
Care	\$ 52.4	\$ 49.0	\$ 49.9	\$ 52.5	5%	0%
Foot Creams & Balms	\$ 14.5	\$ 13.3	\$ 13.8	\$ 14.0	1%	-4%
Foot Files	\$ 25.7	\$ 22.4	\$ 24.2	\$ 26.1	8%	2%
Foot Masks	\$ 7.9	\$ 8.4	\$ 8.0	\$ 8.4	6%	6%
Foot Scrubs	\$ 0.2	\$ 0.2	\$ 0.1	\$ 0.2	13%	-28%
Foot Soaks	\$ 0.4	\$ 0.2	\$ 0.3	\$ 0.3	-12%	-35%
Nail Care	\$ 1.1	\$ 1.2	\$ 1.2	\$ 1.2	2%	13%
Care Displays/Kits	\$ 2.5	\$ 3.2	\$ 2.3	\$ 2.4	3%	-5%
Total Shipments *	\$ 249.5	\$ 265.6	\$ 253.3	\$ 256.3	1%	3%

* Excludes Royalty revenue and Brazil sales

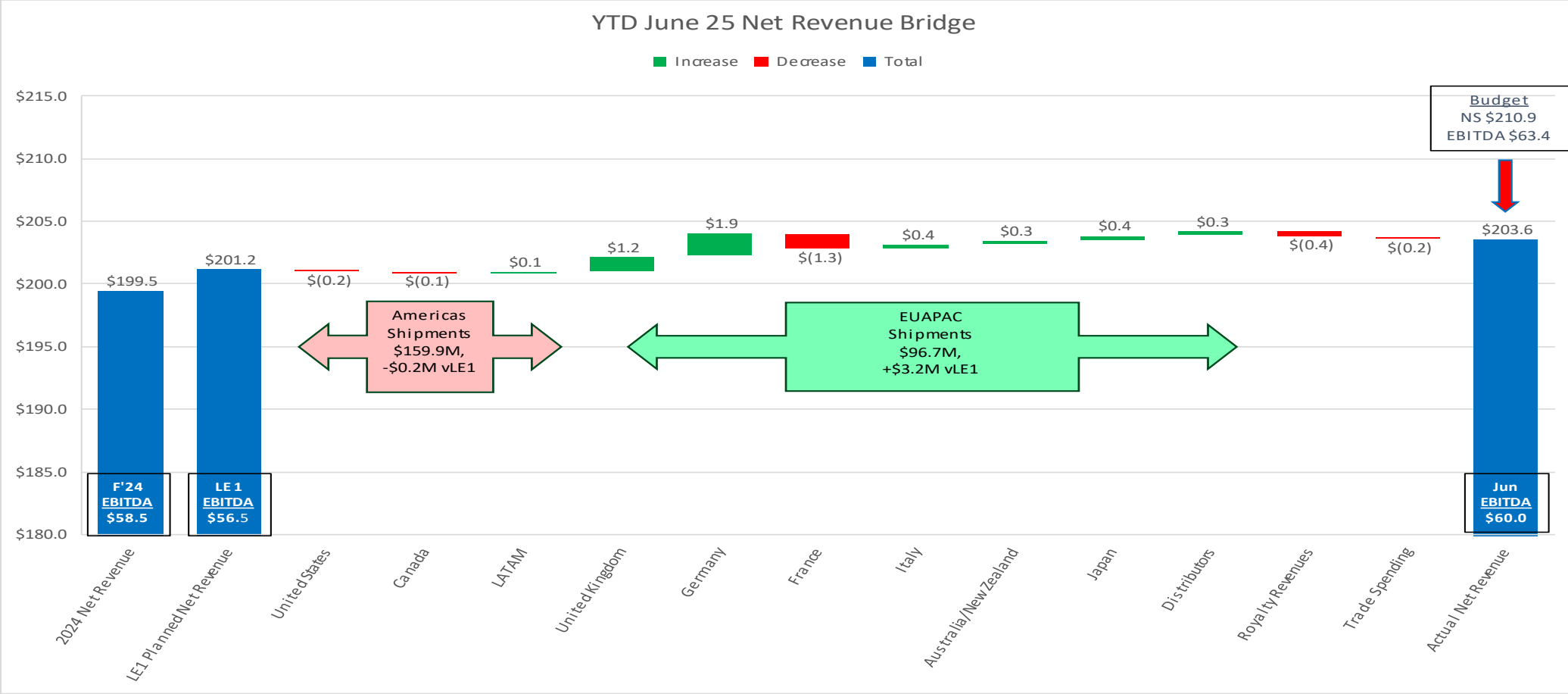
➤ **Shipments (volume) by Category is up versus LE1 +1%, and up versus last year +3%**

- Support is up +1% versus LE1 and down -1% versus last year:
 - * Versus LE1 the increase is driven by the Americas divisions
 - * Versus last year, the decrease mainly comes from the Americas division as well
- Aid is down versus LE1 -1% and up +10% versus last year:
 - * The downside vs LE1 is driven by the Americas division, EUAPAC is flat vs LE1
 - * Versus last year, the increase comes for both divisions, particularly for Blister, Odor/Wetness, Pain and Wart/Verruca
- Care is up +5% versus LE1 and flat versus last year:
 - * Foot Files in the US are the primarily driver for increase vs LE1

June YTD Net Revenue Bridge



- Customer shipments up over plan by **\$3.0M**, partially offset by incremental discounts and allowances, trade spend, returns and cash discounts of **\$0.2M**, and an unfavorable YTD Royalty Revenue true up adjustment of **\$0.4M**



YTD Adjusted EBITDA +3% vPY, +6% vLE1 primarily due to deferred A&P spend

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➤ **Net Sales is +1% and Adj EBITDA is +6% vs LE1, YOY Net Sales and Adj EBITDA +2% and +3%, respectively**

- GTN % is slightly favorable to LE1 by 0.1 ppt primarily due to a prior year trade accrual reversal
- Product Cost margin is unfavorable 30bps to LE1 primarily due to \$1.2M of June tariff expense (\$1.0M addback), Distribution Expense includes \$360M of bonded warehouse costs (addback)
- Marketing spend is down -9%, primarily due to the delay in Amazon, Digital and Retail Media vs LE1; lower Selling expense favorability due to lower EUAPAC costs
- G&A spend is higher than LE1 primarily due to Severance, Rite Aid Bad Debt charges and HR Advisory fees

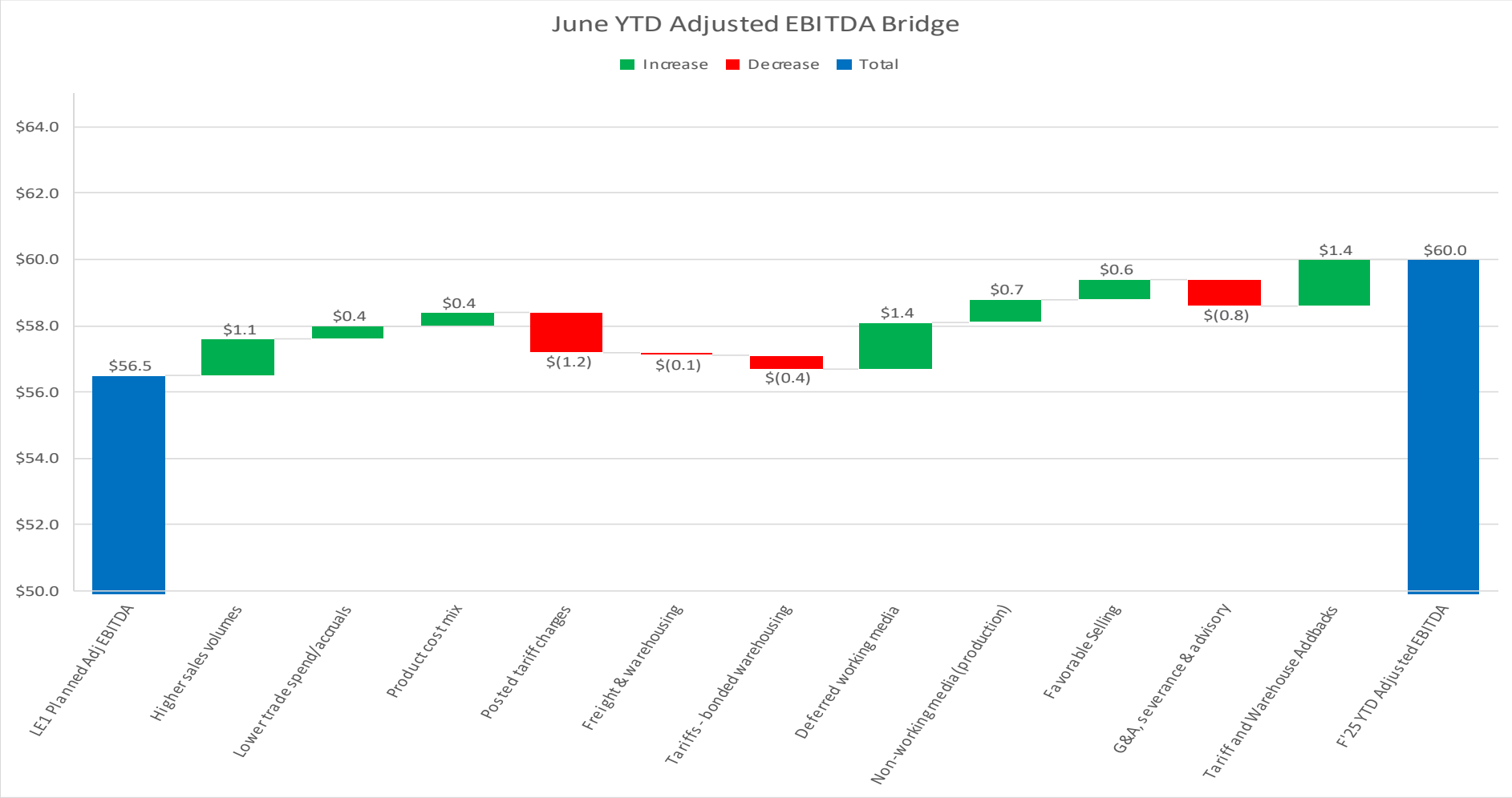
<i>\$ in Thousands</i>	PY	Budget	LE	Actual	% vs LE	% vs PY	\$ vs LE	\$ vs PY
Gross Sales (USA Gross + UK Invoice)	\$ 253,682	\$ 270,385	\$ 257,936	\$ 260,563	1%	3%	\$ 2,627	\$ 6,881
<i>GTN %</i>	<i>21.4%</i>	<i>22.0%</i>	<i>22.0%</i>	<i>21.9%</i>				
Net Sales	199,479	210,895	201,194	203,616	1%	2%	\$ 2,422	\$ 4,137
Product Cost (ex Dist Expense)	79,530	84,322	83,483	85,211	2%	7%	(1,728)	(5,681)
<i>PC %</i>	<i>31.4%</i>	<i>31.2%</i>	<i>32.4%</i>	<i>32.7%</i>				
Gross Profit	119,949	126,572	117,712	118,405	1%	-1%	694	(1,544)
Distribution Expense	13,309	14,682	14,128	14,763	4%	11%	(635)	(1,454)
Delivered Profit	106,641	111,890	103,584	103,642	0%	-3%	59	(2,998)
<i>DP %</i>	<i>42.0%</i>	<i>41.4%</i>	<i>40.2%</i>	<i>39.8%</i>				
Marketing Promotion	27,438	24,517	23,740	21,621			2,119	5,818
Selling Expense	5,311	4,901	5,163	4,601			562	710
R&D/Innovation	467	540	433	330			103	138
Total A&P	33,217	29,958	29,336	26,551	-9%	-20%	2,784	6,665
<i>A&P %</i>	<i>13.1%</i>	<i>11.1%</i>	<i>11.4%</i>	<i>10.2%</i>				
Brand Contribution	73,424	81,932	74,248	77,091	4%	5%	2,843	3,667
<i>BC %</i>	<i>28.9%</i>	<i>30.3%</i>	<i>28.8%</i>	<i>29.6%</i>				
G&A	23,817	22,917	23,271	24,020	3%	1%	(749)	(204)
EBITDA	\$ 49,607	\$ 59,016	\$ 50,976	\$ 53,071	4%	7%	\$ 2,094	\$ 3,463
<i>EBITDA%</i>	<i>19.6%</i>	<i>21.8%</i>	<i>19.8%</i>	<i>20.4%</i>				
Adjusted EBITDA	\$ 58,489	\$ 63,456	\$ 56,525	\$ 59,966	6%	3%	\$ 3,440	\$ 1,476
<i>Adjusted EBITDA%</i>	<i>23.1%</i>	<i>23.5%</i>	<i>21.9%</i>	<i>23.0%</i>				



June YTD Adjusted EBITDA Bridge



- Adjusted EBITDA up over LE1 by **\$3.5M** primarily due to higher volumes and lower marketing spend due to program execution timing, tariffs and related warehousing charges are \$1.6M the bulk of which are offset as addbacks



2025 Consolidated Financial Modified Cash Flow – June YTD vs LE1

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- June YTD free cash flow was \$14.4 million, unfavorable versus LE1 expectations by \$(2.2) million primarily due to higher NWC (tariff capitalization)

- YTD term loan interest payments total \$24.7M, lower than LE1 in line with extended term loan maturity strategy (thru Aug-25)
- Closing cash of \$24.2M was \$(2.2)M lower than LE1
- Leverage ratio closed at 4.99x vs 5.13x per LE1 primarily due to higher TTM EBITDA results

\$ in 000s	LE	Actual
Unadjusted EBITDA	\$ 50,976	\$ 53,071
(-) Non Recurring Cash Charges (Gains)	(3,044)	(1,354)
(-) Cash Interest Expense, net (x interco)	(29,222)	(24,717)
(-) Cash Taxes	(3,761)	(1,401)
(+) Changes in Other LT Assets	4	(316)
(+/-) Changes in NWC & Other N/C	2,185	(10,583)
Operating Cash Flow	17,138	14,700
Capex	(594)	(322)
Free Cash Flow	\$ 16,544	\$ 14,378
Debt Borrowing/(Repayment)	985	985
Additional PIC/(Share Repurchases)	-	-
Cash Flow after Financing	\$ 17,529	\$ 15,363
Beg Cash	\$ 8,861	\$ 8,861
End Cash	\$ 26,390	\$ 24,224
Term Debt	\$ 582,540	\$ 582,540
Less: Cash on Hand	(26,390)	(24,224)
Net Debt	\$ 556,150	\$ 558,316
Adjusted TTM EBITDA	\$ 108,353.6	\$ 111,794.1
Leverage Ratio	5.13x	4.99x

